JAIIB – IE & IFS Practice Bank

389 questions with answers

Module A – Indian Economic Architecture

Q1. NITI Aayog replaced the Planning Commission on:

A) 26 January 2016
B) 1 January 2015 ✓
C) 1 April 2015
D) 15 August 2014

NITI Aayog came into existence on 1 Jan 2015.

Q2. Which Five-Year Plan was based on the Mahalanobis model with stress on heavy industry?

A) Second ✓
B) Third
C) Fourth
D) First

Second Plan (1956-61).

Q3. The first Five-Year Plan followed which growth model?

A) Solow
B) Harrod-Domar ✓
C) Lewis
D) Mahalanobis

Harrod-Domar model, agriculture-focused.

Q4. Under revised MSME norms (from 1 Apr 2025), the investment ceiling for a Micro enterprise is:

A) ₹1 crore
B) ₹10 crore
C) ₹5 crore
D) ₹2.5 crore ✓

Micro: ₹2.5 cr investment and ₹10 cr turnover.

Q5. PSL target for agriculture within ANBC is:

A) 25%
B) 13.5%
C) 10%
D) 18% ✓

Agriculture 18% (small and marginal farmers 10%).

Q6. PM Gati Shakti was launched in:

A) 2019
B) 2022
C) 2020
D) 2021 ✓

October 2021, for integrated infrastructure planning.

Q7. International Solar Alliance has its headquarters at:

A) Gurugram ✓
B) Mumbai
C) New Delhi
D) Paris

ISA HQ is in Gurugram, India.

Q8. The number of Sustainable Development Goals is:

A) 10

B) 17 ✓

C) 20

D) 15

17 SDGs under the 2030 Agenda.

Q9. India has committed to net-zero emissions by:

A) 2070 ✓

B) 2060

C) 2065

D) 2050

Announced at COP26 in 2021.

Q10. WTO was established in:

A) 1991

B) 2001

C) 1995 ✓

D) 1945

1 Jan 1995; HQ Geneva.

Q11. The reserve asset created by the IMF is called:

A) ADR

B) SDR ✓

C) GDR

D) IBRD

Special Drawing Right.

Q12. Foreign Trade Policy 2023 aims at exports of USD ___ by 2030:

A) 1 trillion

B) 2 trillion ✓

C) 5 trillion

D) 3 trillion

USD 2 trillion (goods and services).

Q13. FEMA 1999 replaced:

A) SEBI Act

B) Banking Act

C) FERA 1973 ✓

D) PMLA

Foreign Exchange Regulation Act, 1973.

Q14. GST was launched in India on:

A) 1 January 2018

B) 1 April 2016

C) 1 July 2017 ✓

D) 1 April 2017

101st Constitutional Amendment.

Q15. The Planning Commission of India was set up in:

A) 1956

B) 1950 ✓

C) 1961

D) 1947

Set up in March 1950.

Q16. The first Five-Year Plan covered the period:

A) 1956–61
B) 1951–56 ✓
C) 1950–55
D) 1947–52

First Plan: 1951–56 (Harrod-Domar model).

Q17. The 'Plan Holiday' in India was during:

A) 1951–56
B) 1990–92
C) 1974–78
D) 1966–69 ✓

Three annual plans were adopted between 1966 and 1969.

Q18. The Rolling Plan was introduced by the:

A) Janata government in 1978 ✓
B) Congress government in 1951
C) UF government in 1996
D) NDA government in 2000

Janata Party government, 1978.

Q19. The 12th and last Five-Year Plan covered:

A) 2017–22
B) 2012–17 ✓
C) 2007–12
D) 2014–19

Plans ended in 2017; NITI Aayog now guides policy.

Q20. The Chairperson of NITI Aayog is the:

A) Finance Minister
B) Vice-President
C) President
D) Prime Minister ✓

PM is Chairperson; a Vice-Chairperson and CEO run it.

Q21. The Aspirational Districts Programme was launched by:

A) NITI Aayog ✓
B) RBI
C) SEBI
D) Finance Commission

Launched in January 2018 to improve 112 backward districts.

Q22. Which sector employs the largest share of India's workforce?

A) Industry
B) Mining
C) Services
D) Agriculture ✓

Agriculture is the largest employer, though its GVA share is lowest.

Q23. Which sector contributes the largest share of India's GVA?

A) Mining
B) Agriculture
C) Industry
D) Services ✓

Services contribute more than half of GVA.

Q24. MSP (Minimum Support Price) is announced on the recommendation of:

A) NABARD
B) CACP ✓
C) NITI Aayog
D) RBI

Commission for Agricultural Costs and Prices.

Q25. Father of the Green Revolution in India is:

A) Manmohan Singh
B) M.S. Swaminathan ✓
C) Amartya Sen
D) Verghese Kurien

M.S. Swaminathan; HYV wheat and rice in the 1960s.

Q26. 'Operation Flood' is associated with:

A) Wheat production
B) Oilseeds
C) Milk production ✓
D) Fisheries

White Revolution; Verghese Kurien.

Q27. Kisan Credit Card scheme was introduced in:

A) 1998 ✓
B) 1990
C) 2014
D) 2005

Introduced in 1998-99 by NABARD and RBI.

Q28. Under PM-KISAN, eligible farmer families receive per year:

A) ₹2,000
B) ₹6,000 ✓
C) ₹12,000
D) ₹4,000

₹6,000 in three equal instalments.

Q29. The PSL sub-target for 'Weaker Sections' is:

A) 7.5%
B) 10%
C) 12% ✓
D) 18%

Weaker Sections: 12% of ANBC.

Q30. The PSL sub-target for Micro Enterprises is:

A) 7.5% ✓
B) 10%
C) 18%
D) 12%

Micro enterprises: 7.5%.

Q31. PSL sub-target for small and marginal farmers is:

A) 12%
B) 7.5%
C) 18%
D) 10% ✓

10% within the 18% agriculture target.

Q32. RIDF (Rural Infrastructure Development Fund) is managed by:

A) RBI
B) SIDBI
C) NHB
D) NABARD ✓

Banks with PSL shortfalls contribute to RIDF.

Q33. The MSME Development Act was passed in:

A) 2016
B) 2000
C) 1991
D) 2006 ✓

MSMED Act, 2006.

Q34. Udyam Registration for MSMEs started on:

A) 1 July 2020 ✓
B) 1 Jan 2018
C) 1 Oct 2021
D) 1 April 2016

Replaced Udyog Aadhaar from 1 July 2020.

Q35. MUDRA Bank loans do NOT include which category?

A) Kishor
B) Shishu
C) Tarun
D) Sampanna ✓

Categories: Shishu, Kishor, Tarun (and Tarun Plus in newer scheme).

Q36. Stand-Up India scheme (2016) gives bank loans to:

A) Senior citizens
B) SC/ST and women entrepreneurs ✓
C) Farmers
D) Students

₹10 lakh to ₹1 crore for greenfield enterprises.

Q37. Which of these is 'economic infrastructure'?

A) Power and roads ✓
B) Housing for poor
C) Hospitals
D) Schools

Energy, transport, telecom are economic; education/health are social.

Q38. Which of these is 'social infrastructure'?

A) Railways
B) Hospitals ✓
C) Ports
D) Power plants

Education, health, sanitation, housing.

Q39. BOT in infrastructure PPP stands for:

A) Build-Own-Trade
B) Build-Operate-Transfer ✓
C) Borrow-Operate-Transfer
D) Buy-Operate-Transfer

Private party builds, operates, then hands over.

Q40. Bharatmala Pariyojana mainly relates to:

A) Airports
B) Power
C) Roads and highways ✓
D) Ports

Sagarmala relates to ports.

Q41. The UDAN scheme is meant for:

A) Housing
B) Rural roads
C) Digital payments
D) Regional air connectivity ✓

Ude Desh ka Aam Naagrik.

Q42. IIFCL (India Infrastructure Finance Company Ltd) was set up in:

A) 2011
B) 2006 ✓
C) 1996
D) 2001

Wholly government-owned, set up 2006.

Q43. InvITs in India are regulated by:

A) SEBI ✓
B) RBI
C) NABARD
D) IRDAI

SEBI InvIT Regulations 2014.

Q44. National Infrastructure Pipeline (NIP) was launched in:

A) 2022
B) 2017
C) 2014
D) 2019 ✓

Launched December 2019 for 2020-25.

Q45. The rupee became convertible on current account in:

A) 1991
B) 1994 ✓
C) 2005
D) 1999

India accepted IMF Article VIII in August 1994.

Q46. 'LPG' reforms of 1991 stand for:

A) Liberalisation, Privatisation, Globalisation ✓
B) Loans, Profit, Gains
C) Liquidity, Pricing, Growth
D) Land, Power, Growth

Liberalisation, Privatisation and Globalisation.

Q47. Make in India was launched in:

A) 2010
B) 2012
C) 2014 ✓
D) 2018

25 September 2014.

Q48. Digital India programme was launched in:

A) 2015 ✓

B) 2013

C) 2019

D) 2017

July 2015.

Q49. Under FDI 'automatic route', foreign investors need:

A) Prior Government approval

B) No prior approval ✓

C) SEBI approval

D) Prior RBI approval

Report to RBI after investment.

Q50. FPI refers to investment in:

A) Gold only

B) Listed securities without lasting interest ✓

C) Foreign factories

D) Real estate only

Portfolio flows; also called hot money.

Q51. ECB stands for:

A) Economic Central Bank

B) Equity Capital Base

C) Export Credit Bank

D) External Commercial Borrowings ✓

Foreign currency loans raised by Indian entities.

Q52. An investment is generally treated as FDI when foreign holding in a listed company is:

A) Any amount

B) 10% or more of paid-up equity ✓

C) Below 5%

D) Above 51% only

Below 10% on a fully diluted basis is FPI.

Q53. Under LRS, a resident individual can remit per financial year up to:

A) USD 25,000

B) USD 100,000

C) USD 250,000 ✓

D) USD 1,000,000

USD 250,000.

Q54. Foreign Trade Policy 2023 became effective on:

A) 1 April 2022

B) 1 Oct 2023

C) 1 Jan 2024

D) 1 April 2023 ✓

Valid until further notice, with periodic updates.

Q55. SEZ Act in India was passed in:

A) 2012

B) 2000

C) 2005 ✓

D) 1991

Special Economic Zones Act, 2005.

Q56. DGFT functions under the Ministry of:

A) Home Affairs
B) Finance
C) Commerce and Industry ✓
D) External Affairs

Directorate General of Foreign Trade.

Q57. RoDTEP stands for:

A) Remission of Duties and Taxes on Exported Products ✓
B) Reserve of Duty and Tax Export Plan
C) None
D) Rebate on Domestic Tax and Export Payments

Refunds embedded taxes/duties on exports.

Q58. Balance of Payments consists of:

A) Fiscal and monetary account
B) Current account and capital account ✓
C) Revenue and capital account
D) Trade account only

Current account plus capital account (plus errors, reserves).

Q59. Balance of Trade is the difference between:

A) Exports and imports of goods ✓
B) Exports and imports of services
C) FDI and FPI
D) Savings and investment

Visible trade only.

Q60. Which is an invisible item in the current account?

A) Software services exports ✓
B) Gold imports
C) Crude imports
D) Merchandise exports

Services, income and transfers are invisibles.

Q61. Number of member countries of the IMF is:

A) 191 ✓
B) 173
C) 150
D) 220

191 members after Liechtenstein joined in 2024.

Q62. The World Bank's head office is at:

A) Paris
B) Geneva
C) Basel
D) Washington D.C. ✓

Same city as the IMF.

Q63. The World Bank institution that gives concessional loans to the poorest countries is:

A) IDA ✓
B) IFC
C) MIGA
D) IBRD

International Development Association.

Q64. IFC (International Finance Corporation) lends to:

A) Governments
B) NGOs only
C) Private sector ✓
D) Central banks

Private-sector arm of the World Bank group.

Q65. AIIB has its headquarters at:

A) Shanghai
B) Beijing ✓
C) Manila
D) New Delhi

Asian Infrastructure Investment Bank, Beijing.

Q66. The New Development Bank (BRICS) is headquartered at:

A) New Delhi
B) Moscow
C) Shanghai ✓
D) Johannesburg

NDB, Shanghai.

Q67. The Bank for International Settlements is based in:

A) Zurich
B) Basel ✓
C) Vienna
D) Geneva

Basel, Switzerland; the central banks' bank.

Q68. The Asian Development Bank has its headquarters in:

A) Tokyo
B) Bangkok
C) Manila ✓
D) Singapore

ADB, Manila.

Q69. SDG 13 is:

A) Quality education
B) Clean water
C) Zero hunger
D) Climate action ✓

SDG 1 is No poverty, SDG 2 Zero hunger, SDG 13 Climate action.

Q70. The Paris Agreement aims to limit global warming to well below:

A) 2 °C ✓
B) 4 °C
C) 1 °C
D) 3 °C

Well below 2 °C, pursuing 1.5 °C.

Q71. The International Solar Alliance was launched at:

A) G20 Delhi
B) COP21 Paris (2015) ✓
C) Rio Summit
D) COP26 Glasgow

Jointly by India and France.

Q72. India's 'Panchamrit' pledges were announced at:

A) COP26 (Glasgow, 2021) ✓

B) Rio+20

C) COP21

D) COP28

Includes net-zero by 2070.

Q73. RBI's framework for green deposits was issued in:

A) 2019

B) 2021

C) 2025

D) 2023 ✓

Effective from 1 June 2023.

Q74. Human Development Index is published by:

A) IMF

B) World Bank

C) UNDP ✓

D) WTO

United Nations Development Programme.

Q75. Gini coefficient measures:

A) Poverty line

B) Growth rate

C) Inflation

D) Income inequality ✓

0 = perfect equality, 1 = maximum inequality.

Q76. India's GST was introduced through which Constitutional Amendment?

A) 104th

B) 42nd

C) 73rd

D) 101st ✓

101st Amendment Act, 2016.

Q77. The GST Council is chaired by:

A) RBI Governor

B) Prime Minister

C) Union Finance Minister ✓

D) President

Union Finance Minister.

Q78. The Insolvency and Bankruptcy Code is administered by:

A) IBBI ✓

B) RBI

C) SEBI

D) MCA only

Insolvency and Bankruptcy Board of India.

Q79. RERA (Real Estate Regulation Act) was passed in:

A) 2018

B) 2016 ✓

C) 2013

D) 2020

2016.

Q80. Demonetisation of ₹500 and ₹1000 notes took place in:

A) 2017
B) 2015
C) 2014
D) 2016 ✓

8 November 2016.

Q81. FEMA was passed in 1999 to replace:

A) SEBI Act
B) FEMA Act 1973
C) MRTP
D) FERA ✓

Shift from regulation to management of forex.

Q82. Which committee gave recommendations on capital account convertibility in 1997?

A) Nayak
B) Kelkar
C) Narasimham
D) Tarapore ✓

S.S. Tarapore Committee.

Q83. India's currency code under ISO is:

A) RUP
B) IND
C) IRS
D) INR ✓

INR.

Q84. The Production Linked Incentive (PLI) scheme gives incentives on:

A) Incremental sales/production ✓
B) Imports
C) Savings
D) Loans

Promotes domestic manufacturing.

Q85. Atmanirbhar Bharat Abhiyan was announced in:

A) 2021
B) 2019
C) 2018
D) 2020 ✓

May 2020.

Q86. The head of the Government's economic advice on economy, producing the Economic Survey, is the:

A) Cabinet Secretary
B) NITI CEO
C) Chief Economic Adviser ✓
D) RBI Governor

Economic Survey is prepared by the CEA's team.

Q87. The Economic Survey is presented:

A) In December
B) Before the Budget ✓
C) After the Budget
D) On Republic Day

Usually a day before the Union Budget.

Q88. India's financial year is:

A) 1 Jan to 31 Dec

B) 1 April to 31 March ✓

C) 1 Oct to 30 Sep

D) 1 July to 30 June

April to March.

Module B – Economic Concepts Related to Banking

Q1. M3 (broad money) equals M1 plus:

A) Time deposits with banks ✓

B) Post-office savings

C) Demand drafts

D) Reserve money

M3 = M1 + time deposits with banks.

Q2. M1 includes:

A) Only currency

B) Currency with public + demand deposits + other deposits with RBI ✓

C) Post office deposits

D) Time deposits only

Narrow money.

Q3. Reserve money is also called:

A) Near money

B) Broad money

C) Fiat money

D) High-powered money ✓

M0 / base money.

Q4. A fall in the rate of inflation is called:

A) Deflation

B) Disinflation ✓

C) Stagflation

D) Reflation

Prices still rise, but more slowly.

Q5. Stagflation means:

A) Rising GDP and falling prices

B) Low inflation with high growth

C) Falling prices

D) High inflation with low growth/high unemployment ✓

Inflation + stagnation.

Q6. The liquidity preference theory of interest was given by:

A) Fisher

B) Keynes ✓

C) Marshall

D) Ricardo

J.M. Keynes.

Q7. According to the Fisher equation, real interest rate is:

A) Nominal rate – expected inflation ✓

B) Nominal × inflation

C) Nominal rate + inflation

D) Nominal / inflation

r = i – expected inflation.

Q8. The phase of a business cycle that follows the peak is:

A) Expansion

B) Contraction ✓

C) Recovery

D) Boom

Peak → contraction → trough → recovery.

Q9. The SDF rate is placed ___ the repo rate:

A) 25 bps below ✓

B) 50 bps below

C) 25 bps above

D) equal to

SDF = repo – 25 bps; MSF = repo + 25 bps.

Q10. GDP from the expenditure side is:

A) C + S + T

B) C + I + G + (X – M) ✓

C) S + T + M

D) C + I – G

Consumption + investment + government + net exports.

Q11. GNP equals GDP plus:

A) Net indirect taxes

B) Subsidies

C) Depreciation

D) Net factor income from abroad ✓

GNP = GDP + NFIA.

Q12. Annual Financial Statement (Budget) is laid under Article:

A) 112 ✓

B) 266

C) 110

D) 115

Article 112.

Q13. Contingency Fund of India is under Article:

A) 267 ✓

B) 266

C) 270

D) 268

Article 267.

Q14. FRBM Act was enacted in:

A) 2003 ✓

B) 1998

C) 2010

D) 1991

Fiscal Responsibility and Budget Management Act, 2003.

Q15. Opportunity cost means:

A) Total cost

B) Money cost

C) Value of the next best alternative given up ✓

D) Sunk cost

Cost of the forgone option.

Q16. Unemployment and inflation are studied under:

A) Econometrics

B) Microeconomics

C) Macroeconomics ✓

D) Welfare only

Aggregate issues are macro.

Q17. The law of demand states that, other things equal, when price rises, quantity demanded:

A) Stays the same
B) Rises
C) Doubles
D) Falls ✓

Inverse relationship.

Q18. A rightward shift of the demand curve is caused by:

A) Fall in own price
B) Rise in consumer income (normal good) ✓
C) Fall in supply
D) Rise in own price

Own price causes a movement along the curve, not a shift.

Q19. Demand for necessities is generally:

A) Highly elastic
B) Perfectly elastic
C) Unitary
D) Inelastic ✓

People buy them regardless of price.

Q20. If price elasticity of demand is greater than 1, demand is:

A) Inelastic
B) Elastic ✓
C) Unitary
D) Perfectly inelastic

Quantity changes by more than the price change.

Q21. Cross elasticity between substitutes is:

A) Negative
B) Infinite only
C) Positive ✓
D) Zero

Tea and coffee.

Q22. Income elasticity of inferior goods is:

A) Zero
B) Negative ✓
C) Positive
D) One

Demand falls when income rises.

Q23. A Giffen good has:

A) Horizontal demand
B) Downward-sloping demand
C) Vertical demand
D) Upward-sloping demand ✓

Strongly inferior good, price up demand up.

Q24. Market equilibrium occurs where:

A) Demand exceeds supply
B) Demand equals supply ✓
C) Price is zero
D) Supply is zero

Qd = Qs.

Q25. When there is excess demand, price tends to:

A) Fall
B) Rise ✓
C) Go to zero
D) Stay fixed

Shortage pushes the price up.

Q26. A price floor such as MSP is:

A) A minimum price ✓
B) A maximum price
C) A subsidy
D) A tax

Price cannot legally fall below it.

Q27. A market with a single seller is:

A) Oligopoly
B) Monopoly ✓
C) Monopsony
D) Perfect competition

Monopoly.

Q28. A market with a few large sellers is:

A) Perfect competition
B) Monopoly
C) Duopsony
D) Oligopoly ✓

Oligopoly.

Q29. Reserve Money (M0) does NOT include:

A) Other deposits with RBI
B) Time deposits of public with banks ✓
C) Bankers' deposits with RBI
D) Currency in circulation

Time deposits belong in M3.

Q30. M2 equals M1 plus:

A) Time deposits with banks
B) Savings deposits with Post Office Savings Banks ✓
C) Currency only
D) All post-office deposits

M2 = M1 + post office savings bank deposits.

Q31. Which is the broadest measure among M1, M2, M3?

A) All equal
B) M2
C) M1
D) M3 ✓

M3 is broad money.

Q32. The money multiplier increases when:

A) CRR decreases ✓
B) Inflation falls
C) Repo increases
D) CRR increases

Multiplier is inversely related to reserve ratio.

Q33. The quantity theory of money is represented by:

A) S = I
B) C + I = Y
C) MC = MR
D) MV = PT ✓

Fisher's equation of exchange.

Q34. For inflation targeting, RBI uses:

A) IIP
B) WPI
C) CPI-Combined ✓
D) GDP deflator

Consumer Price Index (Combined).

Q35. WPI is released by:

A) NSO
B) SEBI
C) Office of the Economic Adviser, DPIIT ✓
D) RBI

CPI is released by NSO (MoSPI).

Q36. Inflation caused by excess aggregate demand is called:

A) Demand-pull ✓
B) Cost-push
C) Imported
D) Structural

Too much money chasing too few goods.

Q37. Inflation caused by rising input costs is:

A) Cost-push ✓
B) Demand-pull
C) Hyper
D) Core

Wages and raw material costs.

Q38. Core inflation excludes:

A) Food and fuel ✓
B) Education
C) Housing
D) Clothing

Volatile items are removed.

Q39. The inflation target set for RBI is:

A) 2% ± 1
B) 4% ± 2 ✓
C) 5% ± 1
D) 6% ± 2

4% with a tolerance band of 2% to 6%.

Q40. The MPC must submit a report to the Government if inflation target fails for:

A) 2 consecutive quarters
B) 4 consecutive quarters
C) 3 consecutive quarters ✓
D) 1 quarter

Three consecutive quarters.

Q41. The MPC is chaired by:

A) Chief Economic Adviser
B) RBI Governor ✓
C) Finance Minister
D) Deputy Governor

Governor has a casting vote in a tie.

Q42. External members of the MPC are appointed by:

A) RBI Governor
B) SEBI
C) Central Government ✓
D) Parliament

Three external members.

Q43. MPC must meet at least ___ times a year:

A) 2
B) 4 ✓
C) 6
D) 12

At least four times.

Q44. Under repo, RBI lends to banks against:

A) Real estate
B) Shares
C) Government securities ✓
D) Gold

Repurchase agreement.

Q45. The SDF rate is:

A) Repo – 25 bps ✓
B) Repo + 50 bps
C) Repo + 25 bps
D) Same as repo

Lower bound of the corridor.

Q46. RBI Bank Rate is used for:

A) Setting deposit rates
B) Money supply data
C) Foreign exchange
D) Penalty on CRR shortfall ✓

Also aligned with MSF rate.

Q47. RBI injects liquidity into the system by:

A) Raising CRR
B) OMO sales
C) Raising repo
D) OMO purchases ✓

Buying G-secs releases funds.

Q48. Raising CRR will:

A) Reduce repo
B) Increase liquidity with banks
C) Not change liquidity
D) Reduce liquidity with banks ✓

Less money available for lending.

Q49. CRR balances kept with RBI earn:

A) Bank rate
B) Repo rate
C) Reverse repo
D) No interest ✓

CRR balances are non-interest bearing.

Q50. The maximum SLR permitted under the Banking Regulation Act is:

A) 50%
B) 25%
C) 20%
D) 40% ✓

Section 24: up to 40% of NDTL.

Q51. Which is a qualitative credit control tool?

A) Repo
B) CRR
C) Moral suasion ✓
D) OMO

Persuasion, margins and selective controls.

Q52. The three motives for holding money (Keynes) are transaction, precautionary and:

A) Fiscal
B) Investment
C) Speculative ✓
D) Banking

Liquidity preference.

Q53. Classical theory says interest is determined by:

A) Savings and investment ✓
B) Government
C) Banks
D) Money supply only

Equilibrium of saving and investment.

Q54. An inverted yield curve generally signals:

A) Deflation
B) Boom
C) Possible recession ✓
D) Hyperinflation

Short-term yields above long-term yields.

Q55. The lowest point of a business cycle is the:

A) Recovery
B) Boom
C) Peak
D) Trough ✓

Trough.

Q56. A technical recession is:

A) One quarter of negative growth
B) Two consecutive quarters of negative growth ✓
C) One year of inflation
D) Zero growth for a year

Two straight quarters of falling GDP.

Q57. The Kitchin cycle is about ___ years long:

A) 45–60
B) 7–11
C) 3–5 ✓
D) 15–25

Short inventory cycle.

Q58. The Juglar cycle is about ___ years:

A) 15–25
B) 3–5
C) 7–11 ✓
D) 50

Investment cycle.

Q59. Fiscal policy instruments include:

A) Taxation and government spending ✓
B) CRR and SLR
C) Repo and reverse repo
D) Moral suasion

Fiscal = Government's budget; monetary = RBI.

Q60. Revenue deficit equals:

A) Total expenditure – total receipts
B) Revenue expenditure – revenue receipts ✓
C) Capital expenditure – capital receipts
D) Fiscal deficit – interest

Revenue Expenditure – Revenue Receipts.

Q61. Fiscal deficit indicates the Government's:

A) Interest payments
B) Grants only
C) Tax revenue
D) Total borrowing requirement ✓

Expenditure minus receipts excluding borrowings.

Q62. Effective revenue deficit is revenue deficit minus:

A) Defence spending
B) Subsidies
C) Grants for creation of capital assets ✓
D) Interest payments

Introduced in the 2011-12 Budget.

Q63. The FRBM Act was passed in:

A) 1997
B) 2015
C) 2003 ✓
D) 2008

Fiscal Responsibility and Budget Management Act, 2003.

Q64. The N.K. Singh Committee reviewed:

A) FRBM framework ✓
B) Insurance
C) Banking
D) GST

Reported in January 2017.

Q65. Which one is an indirect tax?

A) Corporate tax
B) Income tax
C) Wealth tax
D) GST ✓

Charged on goods and services.

Q66. The Union Budget is presented on 1 February since:

A) 2020
B) 2017 ✓
C) 2014
D) 2010

Advanced from the end of February.

Q67. The Railway Budget was merged with the Union Budget in:

A) 2019
B) 2017 ✓
C) 2012
D) 2021

From 2017-18.

Q68. A Money Bill is defined in Article:

A) 266
B) 110 ✓
C) 112
D) 280

Article 110; introduced only in Lok Sabha.

Q69. The Consolidated Fund of India is under Article:

A) 112
B) 266 ✓
C) 275
D) 267

Article 266(1).

Q70. Appropriation Bill authorises:

A) Loan waivers
B) Foreign loans
C) Imposition of tax
D) Withdrawal from the Consolidated Fund ✓

Spending authority for the year.

Q71. Vote on Account is used to:

A) Raise taxes
B) Revise the plan
C) Meet expenditure until the Budget is passed ✓
D) Pass whole budget

Interim spending.

Q72. Real GDP is GDP measured at:

A) Constant (base year) prices ✓
B) Current prices
C) Black-market prices
D) Import prices

Adjusts for price changes.

Q73. GDP deflator equals:

A) (Real GDP / Nominal GDP) × 100

B) Nominal GDP – real GDP

C) (Nominal GDP / Real GDP) × 100 ✓

D) Real GDP × inflation

Price index for all domestic output.

Q74. NNP at market price equals GNP minus:

A) Exports

B) Indirect taxes

C) Subsidies

D) Depreciation ✓

NNP = GNP – depreciation.

Q75. Per capita income equals:

A) GDP × Population

B) Consumption / Population

C) National income / Population ✓

D) Savings / Income

Average income.

Q76. The agency that releases GDP data in India is:

A) NSO (under MoSPI) ✓

B) RBI

C) NITI Aayog

D) Finance Ministry

National Statistical Office.

Q77. GVA at basic prices equals:

A) GDP + NFIA

B) Output – intermediate consumption ✓

C) Output + imports

D) Consumption + investment

Value added.

Q78. GDP by expenditure approach includes all EXCEPT:

A) Government spending

B) Consumption

C) Investment

D) Transfer payments ✓

Transfers are not production.

Q79. Net Factor Income from Abroad is the difference between:

A) Income received from abroad and paid abroad by factors ✓

B) Exports and imports

C) Remittances and aid

D) FDI and FPI

GNP = GDP + NFIA.

Module C – Indian Financial Architecture

Q1. Number of banks nationalised in 1969:

A) 10
B) 20
C) 6
D) 14 ✓

14 major banks (6 more in 1980).

Q2. Imperial Bank of India became SBI in:

A) 1949
B) 1935
C) 1969
D) 1955 ✓

SBI Act 1955.

Q3. NaBFID was set up in:

A) 2021 ✓
B) 2017
C) 2023
D) 2019

National Bank for Financing Infrastructure and Development.

Q4. The first development financial institution in India was:

A) IFCI ✓
B) SIDBI
C) IDBI
D) ICICI

IFCI, 1948.

Q5. Minimum Net Owned Fund required for an NBFC is:

A) ₹1 crore
B) ₹10 crore
C) ₹5 crore
D) ₹2 crore ✓

₹2 crore under RBI norms.

Q6. NBFCs are NOT allowed to:

A) Accept demand deposits ✓
B) Lend
C) Invest in securities
D) Do leasing

They cannot accept demand deposits.

Q7. IRDAI is headquartered at:

A) Delhi
B) Mumbai
C) Hyderabad ✓
D) Chennai

Hyderabad.

Q8. DICGC insurance cover per depositor per bank is:

A) ₹3 lakh
B) ₹1 lakh
C) ₹10 lakh
D) ₹5 lakh ✓

Raised to ₹5 lakh on 4 Feb 2020.

Q9. Narasimham Committee on financial system (first) reported in:

A) 2004
B) 1985
C) 1991 ✓
D) 1998

1991; second report in 1998.

Q10. SARFAESI Act was passed in:

A) 2016
B) 1993
C) 2002 ✓
D) 2007

2002.

Q11. Insolvency and Bankruptcy Code was enacted in:

A) 2016 ✓
B) 2019
C) 2013
D) 2008

2016.

Q12. RBI's headquarters is in:

A) New Delhi
B) Kolkata
C) Mumbai ✓
D) Chennai

Moved from Calcutta to Mumbai in 1937.

Q13. The first Governor of RBI was:

A) Sir Osborne Smith ✓
B) C.D. Deshmukh
C) I.G. Patel
D) Manmohan Singh

Sir Osborne Smith.

Q14. The first Indian Governor of RBI was:

A) B. Rama Rau
B) C.D. Deshmukh ✓
C) Sir Osborne Smith
D) Urjit Patel

C.D. Deshmukh (1943).

Q15. RBI was nationalised in:

A) 1947
B) 1935
C) 1969
D) 1949 ✓

1 January 1949.

Q16. The sole right to issue currency notes (other than ₹1) is with:

A) RBI ✓
B) SBI
C) Ministry of Finance
D) SEBI

Section 22 of the RBI Act.

Q17. ₹1 notes and all coins are issued by:

A) IBA
B) SBI
C) RBI
D) Government of India ✓

Ministry of Finance.

Q18. The Minimum Reserve System was adopted in:

A) 1957 ✓
B) 1935
C) 1991
D) 1969

₹200 crore in gold and foreign securities.

Q19. A scheduled bank is one included in which Schedule of the RBI Act?

A) Second ✓
B) First
C) Third
D) Fourth

Second Schedule.

Q20. The BR Act 1949 was extended to cooperative banks in:

A) 2004
B) 1955
C) 1985
D) 1966 ✓

With certain modifications.

Q21. Section 5(b) of the BR Act defines:

A) Banking company
B) Deposit
C) Banking ✓
D) Banker

Accepting deposits for lending or investment.

Q22. Banks are prohibited from trading by Section:

A) 10
B) 8 ✓
C) 12
D) 6

Section 8 bars buying/selling goods (except as security realisation).

Q23. Banks must transfer to the statutory reserve fund ___ of profit:

A) 10%
B) 20% ✓
C) 50%
D) 25%

Section 17.

Q24. RBI's power to issue directions to banks is under Section:

A) 24
B) 22
C) 35A ✓
D) 42

Section 35A.

Q25. Prior RBI approval is needed to acquire ___ or more of a bank's paid-up capital:

A) 10%
B) 1%
C) 26%
D) 5% ✓

Acquisition of 5% or more needs approval.

Q26. Voting rights of a single shareholder in a private bank are capped at:

A) 5%
B) 50%
C) 10% ✓
D) 26%

10%, which RBI may raise in phases (up to 26%).

Q27. SBI was constituted in:

A) 1980
B) 1955 ✓
C) 1935
D) 1969

State Bank of India Act, 1955.

Q28. Number of banks nationalised in 1980:

A) 6 ✓
B) 14
C) 20
D) 27

Six banks.

Q29. Number of public sector banks after the 2019-20 mergers is:

A) 12 ✓
B) 8
C) 20
D) 27

27 reduced to 12.

Q30. Regional Rural Banks were set up under the RRB Act of:

A) 1969
B) 1982
C) 1976 ✓
D) 1991

First RRBs in October 1975.

Q31. Shareholding pattern of an RRB (Centre : State : Sponsor bank) is:

A) 50:15:35 ✓
B) 35:15:50
C) 51:24:25
D) 40:30:30

Centre 50%, State 15%, sponsor bank 35%.

Q32. A Payments Bank can hold deposits per customer up to:

A) ₹10 lakh
B) ₹2 lakh ✓
C) ₹1 lakh
D) ₹5 lakh

Raised from ₹1 lakh to ₹2 lakh in 2021.

Q33. Small Finance Banks must lend ___ of ANBC to priority sector:

A) 50%
B) 100%
C) 40%
D) 75% ✓

75% PSL.

Q34. The apex institution for agriculture credit is:

A) SIDBI
B) NABARD ✓
C) NHB
D) EXIM

National Bank for Agriculture and Rural Development.

Q35. SIDBI's head office is at:

A) Mumbai
B) Hyderabad
C) Lucknow ✓
D) Delhi

SIDBI head office is Lucknow.

Q36. PACS (Primary Agricultural Credit Societies) form part of:

A) Short-term cooperative credit structure ✓
B) RRB structure
C) Payments banks
D) Long-term structure

Three-tier short-term cooperative structure.

Q37. The first Development Financial Institution in India was:

A) IDBI
B) IFCI ✓
C) ICICI
D) SIDBI

Industrial Finance Corporation of India, 1948.

Q38. The State Financial Corporations Act was passed in:

A) 1948
B) 1982
C) 1964
D) 1951 ✓

SFC Act, 1951.

Q39. IDBI was established in:

A) 1964 ✓
B) 1955
C) 1948
D) 1990

Set up as RBI subsidiary in 1964.

Q40. EXIM Bank of India was established in:

A) 1964
B) 1990
C) 1982 ✓
D) 2000

For export-import financing.

Q41. National Housing Bank was set up in:

A) 2001
B) 1988 ✓
C) 1982
D) 1994

NHB, 1988.

Q42. NARCL was set up in:

A) 2019
B) 2021 ✓
C) 2023
D) 2016

National Asset Reconstruction Company Ltd, the 'bad bank'.

Q43. ARCs in India are registered and regulated by:

A) RBI ✓
B) MCA
C) SEBI
D) IRDAI

Under SARFAESI Act 2002.

Q44. Under SARFAESI, banks can enforce security without court for NPAs above:

A) ₹1 crore
B) ₹1 lakh ✓
C) ₹10,000
D) ₹10 lakh

₹1 lakh, after a 60-day notice.

Q45. Debt Recovery Tribunals were set up under the Act of:

A) 1993 ✓
B) 2002
C) 1985
D) 2016

Recovery of Debts Due to Banks and FIs Act, 1993.

Q46. The adjudicating authority for corporate insolvency under IBC is:

A) NCLT ✓
B) High Court
C) SEBI
D) DRT

National Company Law Tribunal.

Q47. Basel III minimum total capital ratio in India is:

A) 8%
B) 9% ✓
C) 11.5%
D) 15%

9% plus 2.5% Capital Conservation Buffer.

Q48. MCLR was introduced in:

A) 2010
B) 2019
C) 2016 ✓
D) 2003

April 2016.

Q49. External Benchmark Lending Rate (EBLR) linkage for floating retail loans became mandatory from:

A) 2010
B) October 2019 ✓
C) 2022
D) 2016

Floating-rate retail and MSME loans.

Q50. Base Rate system started in:

A) July 2010 ✓
B) 2003
C) 2019
D) 2016

Replaced BPLR.

Q51. The Narasimham Committee-II reported in:

A) 1998 ✓
B) 2010
C) 1991
D) 2004

CAR of 9%, bank mergers, ARCs.

Q52. The SHG-Bank Linkage Programme was launched by NABARD in:

A) 1982
B) 2012
C) 1992 ✓
D) 2002

1992.

Q53. NBFCs are registered under which section of the RBI Act?

A) 45-IA ✓
B) 35A
C) 22
D) 42

Section 45-IA.

Q54. The minimum Net Owned Fund for NBFC registration is:

A) ₹100 crore
B) ₹10 crore
C) ₹25 lakh
D) ₹2 crore ✓

₹2 crore (₹5 crore for NBFC-Factors).

Q55. NBFCs, unlike banks, cannot:

A) Provide leasing
B) Accept demand deposits ✓
C) Give loans
D) Hold securities

Also cannot issue cheques on their own deposits.

Q56. Deposits with NBFCs are insured by DICGC:

A) Yes, up to ₹5 lakh
B) No ✓
C) Only for HFCs
D) Yes, up to ₹1 lakh

NBFC deposits are not insured.

Q57. Under Scale-Based Regulation, the NBFC layers are:

A) Tier I, II, III

B) Retail, Wholesale

C) Base, Middle, Upper, Top ✓

D) Small, Medium, Large

Effective 1 October 2022.

Q58. A Core Investment Company must hold at least ___ of net assets in group equity/ debt:

A) 100%

B) 30%

C) 60%

D) 90% ✓

90% (with at least 60% in equity).

Q59. HFCs came under RBI regulation from:

A) 2010

B) 2022

C) August 2019 ✓

D) 2015

Earlier regulated by NHB.

Q60. NBFC-P2P platforms connect:

A) Insurers and agents

B) Exporters

C) Lenders and borrowers ✓

D) Banks and RBI

Peer-to-peer lending.

Q61. IRDA Act was passed in:

A) 2008

B) 1938

C) 1956

D) 1999 ✓

IRDA Act, 1999.

Q62. LIC was formed by nationalisation in:

A) 1972

B) 1956 ✓

C) 1947

D) 1991

1 September 1956.

Q63. General insurance business was nationalised in:

A) 1956

B) 1972 ✓

C) 1980

D) 1991

GIC Act 1972.

Q64. GIC Re is India's:

A) Health insurer

B) Life insurer

C) National reinsurer ✓

D) Motor insurer

General Insurance Corporation of India.

Q65. Bancassurance means:

A) Banks selling insurance products ✓

B) Bank holding insurers

C) Bank deposits insurance

D) Insurance for banks

Bank as corporate agent.

Q66. SEBI became a statutory body in:

A) 1992 ✓

B) 2000

C) 1988

D) 2013

SEBI Act, 1992.

Q67. PFRDA was given statutory status in:

A) 2018

B) 2008

C) 2013 ✓

D) 2003

PFRDA Act 2013.

Q68. IFSCA is headquartered at:

A) Bengaluru

B) GIFT City, Gandhinagar ✓

C) Mumbai

D) Delhi

Regulates International Financial Services Centre.

Q69. FSDC is chaired by the:

A) Prime Minister

B) Union Finance Minister ✓

C) RBI Governor

D) SEBI Chairman

Financial Stability and Development Council.

Q70. DICGC is a wholly-owned subsidiary of:

A) RBI ✓

B) Government of India

C) IBA

D) SBI

Deposit Insurance and Credit Guarantee Corporation.

Q71. Which deposits are NOT insured by DICGC?

A) Savings

B) Current

C) Fixed

D) Deposits of foreign governments ✓

Foreign government, inter-bank deposits etc. are excluded.

Q72. FIU-IND functions under the:

A) IRDAI

B) RBI

C) Ministry of Finance ✓

D) SEBI

Financial Intelligence Unit.

Q73. Payment and Settlement Systems Act was passed in:

A) 2007 ✓

B) 2019

C) 1998

D) 2013

PSS Act 2007.

Q74. NPCI was incorporated in:

A) 2016

B) 2012

C) 2000

D) 2008 ✓

National Payments Corporation of India.

Q75. UPI was launched in:

A) 2014

B) 2012

C) 2019

D) April 2016 ✓

UPI went live in April 2016.

Q76. PMJDY was launched in:

A) August 2014 ✓

B) 2011

C) 2018

D) 2016

Pradhan Mantri Jan Dhan Yojana.

Q77. The Bank Board Bureau (2016) was replaced by:

A) FSDC

B) IBBI

C) FSIB ✓

D) NABFID

Financial Services Institutions Bureau (2022).

Q78. Indradhanush plan (2015) was meant for:

A) Rural housing

B) Deposit insurance

C) Reforming and recapitalising PSBs ✓

D) Digital payments

Seven-pronged plan.

Q79. PCA (Prompt Corrective Action) is triggered by breach of thresholds on:

A) Share price

B) Salaries

C) Branch numbers

D) Capital, asset quality and profitability ✓

CRAR, NNPA and ROA/leverage.

Q80. The Integrated Ombudsman Scheme of RBI was launched in:

A) 2019

B) November 2021 ✓

C) 2023

D) 2014

Merged three ombudsman schemes.

Q81. The e-Rupee (CBDC) pilot was launched by RBI in:

A) 2020
B) 2018
C) 2022 ✓
D) 2024

Wholesale in November 2022, retail in December 2022.

Q82. Banks can open a 'Basic Savings Bank Deposit Account' for:

A) Minors only
B) Anyone without minimum balance ✓
C) Foreign nationals only
D) Corporates only

No minimum balance requirement.

Q83. Section 42 of the RBI Act deals with:

A) CRR ✓
B) Inspection
C) Note issue
D) Licensing

Cash Reserve Ratio.

Q84. Section 45ZB of RBI Act deals with:

A) Foreign exchange
B) MPC constitution ✓
C) Reserve fund
D) NBFC

Monetary Policy Committee.

Module D – Financial Products and Services

Q1. Treasury bills are issued in tenors of:

A) 91, 182, 364 days ✓

B) 14, 28, 91 days

C) 30, 60, 90 days

D) 1, 2, 5 years

Zero-coupon, issued at discount.

Q2. Commercial paper has a minimum denomination of:

A) ₹1 lakh

B) ₹5 lakh ✓

C) ₹25 lakh

D) ₹10 lakh

₹5 lakh (also CDs).

Q3. CCIL was established in:

A) 1996

B) 2001 ✓

C) 2008

D) 1991

Clearing Corporation of India Ltd, 2001.

Q4. BSE was established in:

A) 1947

B) 1992

C) 1875 ✓

D) 1900

Asia's oldest stock exchange.

Q5. Equity trades in India settle on a ___ basis (since 2023):

A) T+1 ✓

B) T+3

C) T+2

D) T+0 only

T+1 from January 2023.

Q6. The first depository in India was:

A) BSE

B) CDSL

C) NSE

D) NSDL ✓

NSDL, 1996.

Q7. Standard spot settlement in forex market is:

A) T+5

B) T+0

C) T+1

D) T+2 ✓

Spot value is two working days.

Q8. Forfaiting is done:

A) Only for services

B) Without recourse to the exporter ✓

C) With full recourse

D) Only for domestic sales

Forfaiter buys export receivables without recourse.

Q9. TReDS mainly helps:

A) Gold loans
B) Retail share trading
C) MSME sellers discount invoices ✓
D) Forex booking

Trade Receivables Discounting System.

Q10. Venture capital funds fall under which AIF category?

A) Cat I ✓
B) Cat III
C) Not an AIF
D) Cat II

Cat I (venture, SME, social, infra).

Q11. In a finance lease the ownership of the asset remains with:

A) Manufacturer
B) Lessor ✓
C) Lessee
D) Bank

Lessor owns; lessee uses.

Q12. Credit rating agencies in India are regulated by:

A) MCA
B) RBI
C) SEBI ✓
D) IRDAI

SEBI (CRA) Regulations 1999.

Q13. ELSS mutual fund lock-in period is:

A) 3 years ✓
B) 1 year
C) 7 years
D) 5 years

Three years, 80C benefit.

Q14. ULIP has a lock-in period of:

A) 10 years
B) 5 years ✓
C) 3 years
D) 1 year

Five years.

Q15. At least ___ of net distributable cash flows must be distributed by a REIT:

A) 50%
B) 75%
C) 90% ✓
D) 100%

90%.

Q16. Atal Pension Yojana was launched in:

A) 2010
B) 2014
C) 2015 ✓
D) 2018

9 May 2015.

Q17. NPS was opened to all citizens from:

A) 1 May 2009 ✓

B) 1 Jan 2020

C) 1 Jan 2004

D) 1 Apr 2015

1 May 2009.

Q18. Which market segment deals in funds borrowed and lent for one day only?

A) Call (overnight) money ✓

B) Term money

C) Treasury bill market

D) Notice money

Call = overnight; notice = 2–14 days; term = 15 days to 1 year.

Q19. Treasury Bills are issued at a discount and redeemed at:

A) Face value ✓

B) Discount

C) Premium

D) Market price

Zero-coupon; return is the difference.

Q20. The maturity of Commercial Paper ranges from:

A) 1 day to 7 days

B) 7 days to 1 year ✓

C) 1 to 3 years

D) 3 to 5 years

7 days to 1 year.

Q21. Certificates of Deposit issued by banks have maturity of:

A) 7 days to 1 year ✓

B) 5 years

C) Up to 7 days

D) 1 to 3 years

Banks: 7 days to 1 year; FIs: 1–3 years.

Q22. TREPS (tri-party repo) replaced:

A) MIBOR

B) Repo

C) CBLO ✓

D) Call money

CBLO was discontinued in 2018.

Q23. Cash Management Bills are issued for periods:

A) 10 years

B) 30 years

C) Above 1 year

D) Below 91 days ✓

Short-term bridging.

Q24. Dated Government securities have maturity usually of:

A) Perpetual

B) Up to 1 year

C) 5 to 40 years ✓

D) Only 91 days

Long-term government bonds.

Q25. State Development Loans (SDLs) are issued by:

A) Central Government

B) NABARD

C) State Governments ✓

D) RBI

Borrowing by state governments.

Q26. Bond price and yield have:

A) Direct relation

B) Equal movement

C) No relation

D) Inverse relation ✓

When yield rises, price falls.

Q27. A zero-coupon bond is sold:

A) At par only

B) At discount ✓

C) With periodic interest

D) At premium

No coupon, redeemed at face value.

Q28. Primary Dealers in G-secs are appointed by:

A) BSE

B) SEBI

C) MoF

D) RBI ✓

RBI authorises them.

Q29. The Retail Direct platform for G-sec investing was launched in:

A) 2024

B) November 2021 ✓

C) 2019

D) 2015

By RBI, allowing retail investors to open gilt accounts.

Q30. Clean price of a bond is price:

A) Including accrued interest

B) After commission

C) After tax

D) Excluding accrued interest ✓

Dirty price = clean + accrued.

Q31. Government securities in India settle on:

A) T+0

B) T+1 ✓

C) T+2

D) T+5

T+1 settlement.

Q32. Floating-rate bonds pay coupon:

A) Fixed

B) None

C) Reset periodically against a benchmark ✓

D) At maturity

Linked to a benchmark such as T-bill average.

Q33. SEBI was established as a non-statutory body in:

A) 1992
B) 2000
C) 1988 ✓
D) 1995

12 April 1988; statutory 1992.

Q34. SEBI's headquarters is in:

A) Mumbai ✓
B) Delhi
C) Chennai
D) Kolkata

Bandra Kurla Complex, Mumbai.

Q35. Minimum public shareholding required in a listed company is:

A) 10%
B) 51%
C) 25% ✓
D) 49%

As per SCRR.

Q36. A 'Rights Issue' is offered to:

A) Foreign investors
B) General public
C) Existing shareholders ✓
D) Employees only

In proportion to holdings.

Q37. QIP is an issue to:

A) Retail investors
B) Promoters
C) Qualified Institutional Buyers ✓
D) Government

Qualified Institutions Placement.

Q38. OFS (Offer for Sale) is used by:

A) Banks to lend
B) MF to launch
C) Companies to buy shares
D) Promoters to sell shares through exchange mechanism ✓

Used for disinvestment/promoter dilution.

Q39. Sensex comprises ___ stocks:

A) 20
B) 30 ✓
C) 100
D) 50

BSE Sensex 30; NSE Nifty 50.

Q40. NSE was recognised as a stock exchange in:

A) 1993 ✓
B) 1990
C) 1998
D) 2001

Trading started in 1994.

Q41. The first stock exchange in India (and Asia) is:

A) OTCEI

B) BSE ✓

C) MCX

D) NSE

Established in 1875.

Q42. Demat accounts hold securities in:

A) Physical form

B) Paper form

C) Electronic form ✓

D) Gold form

Dematerialised.

Q43. Depositories in India are NSDL and:

A) BSE

B) CDSL ✓

C) MCX

D) NSE

Central Depository Services Ltd.

Q44. The Securities Transaction Tax was introduced in:

A) 2016

B) 2010

C) 1991

D) 2004 ✓

2004.

Q45. India VIX measures:

A) Market volatility expectation ✓

B) Inflation

C) GDP

D) Liquidity

Volatility index based on Nifty options.

Q46. ASBA stands for:

A) Automatic Share Buy Allotment

B) Application Series by Bank Allocation

C) Application Supported by Blocked Amount ✓

D) Approved Securities Bidding Account

Funds are blocked in the investor's account, not debited.

Q47. SME exchange platform of NSE is called:

A) Nifty SME

B) Gateway

C) Emerge ✓

D) Start-up

NSE Emerge.

Q48. Insider trading in India is governed by SEBI regulations of:

A) 2003

B) 2020

C) 1992

D) 2015 ✓

SEBI (Prohibition of Insider Trading) Regulations, 2015.

Q49. Book building price band cap (floor and cap) can differ by at most:

A) 10%
B) 5%
C) 50%
D) 20% ✓

Cap can be at most 20% above the floor price.

Q50. In a direct quote, the home currency is:

A) Variable ✓
B) Fixed unit
C) Not included
D) Always dollar

Rupees per unit of foreign currency in India.

Q51. In forex, banks buy foreign currency at the:

A) Bid rate ✓
B) Spot rate only
C) Offer rate
D) Forward rate only

Bid is the lower rate; offer the higher.

Q52. A forward premium exists when forward rate is:

A) Above spot ✓
B) Zero
C) Below spot
D) Equal to spot

For the foreign currency.

Q53. Account maintained by an Indian bank with a foreign bank is:

A) Nostro ✓
B) Mirror
C) Loro
D) Vostro

'Our account with you'.

Q54. A foreign bank's rupee account with an Indian bank is:

A) Domestic
B) Vostro ✓
C) Loro
D) Nostro

'Your account with us'.

Q55. FEDAI is the association of:

A) Authorised dealers in forex ✓
B) NBFCs
C) Mutual funds
D) Insurers

Foreign Exchange Dealers' Association of India.

Q56. Forex spot transactions are settled normally on:

A) Two working days later ✓
B) Same day
C) Seven days
D) Next day

T+2.

Q57. FEMA 1999 came into force on:

A) 1 Jan 2003
B) 1 June 2000 ✓
C) 1 April 2001
D) 1 Jan 1999

Passed in 1999, effective June 2000.

Q58. The exchange rate regime followed by India is:

A) Pegged to dollar
B) Currency board
C) Managed floating ✓
D) Fixed

RBI intervenes to curb volatility.

Q59. REER stands for:

A) Reserve Exchange Equity Rate
B) Regulated Exchange Rate
C) Real Effective Exchange Rate ✓
D) Rupee Export Exchange Ratio

Weighted trade-based index adjusted for inflation.

Q60. Currency futures trading in India started on NSE in:

A) 2000
B) 2008 ✓
C) 2012
D) 2004

August 2008.

Q61. Covered interest parity relates:

A) Spot rate to GDP
B) Forward premium to interest rate differential ✓
C) Inflation to unemployment
D) Reserves to exports

Forward premium ≈ interest differential.

Q62. CCIL clears and settles:

A) Only equities
B) Forex and G-sec transactions ✓
C) Only commodities
D) Only insurance

Clearing Corporation of India Ltd.

Q63. Derivatives are regulated in India by SEBI under:

A) BR Act
B) IRDA Act
C) SCRA 1956 ✓
D) FEMA 1999

Securities Contracts (Regulation) Act, 1956.

Q64. Forward contracts are traded:

A) On exchanges
B) By RBI
C) Only by SEBI
D) Over-the-counter ✓

Customised OTC contracts.

Q65. Futures contracts are:

A) Customised OTC
B) Only for gold
C) Illegal in India
D) Standardised and exchange-traded ✓

Daily mark-to-market with margins.

Q66. The buyer of a call option has the:

A) Right to sell
B) Obligation to sell
C) Right to buy ✓
D) Obligation to buy

Right but not obligation.

Q67. The buyer of an option pays:

A) Premium ✓
B) Margin
C) Dividend
D) Interest

Premium to the writer.

Q68. European options can be exercised:

A) Any time
B) Never
C) Only in Europe
D) Only on expiry date ✓

American options any time.

Q69. Index options on NSE are:

A) European style ✓
B) None
C) American style
D) Asian

Cash-settled European options.

Q70. The first index futures in India started in:

A) 1996
B) June 2000 ✓
C) 2008
D) 2004

On BSE and NSE in June 2000.

Q71. In an Interest Rate Swap parties exchange:

A) Shares
B) Principal
C) Fixed for floating interest payments ✓
D) Currencies

Generally no principal exchange.

Q72. In a CDS, the protection buyer:

A) Receives premium
B) Has no obligation
C) Pays only on default
D) Pays periodic premium ✓

Receives compensation on credit event.

Q73. Index derivatives in India are settled:

A) By physical delivery
B) In gold
C) In dollars
D) In cash ✓

Cash-settled.

Q74. Factoring Regulation Act was passed in:

A) 2019
B) 2002
C) 2015
D) 2011 ✓

Factoring Regulation Act, 2011.

Q75. Factoring 'without recourse' means:

A) Insurance only
B) Factor bears credit risk of the debtor ✓
C) Seller bears risk
D) No payment

If the debtor defaults, seller owes nothing.

Q76. Forfaiting is typically used for:

A) Equity
B) Domestic retail
C) Gold loans
D) Export receivables (medium term) ✓

Without recourse to exporter.

Q77. Which is a TReDS platform?

A) MCX
B) NSDL
C) CCIL
D) RXIL ✓

Also M1xchange and Invoicemart.

Q78. TReDS sellers are:

A) Retail investors
B) Large banks
C) MSMEs ✓
D) Foreign investors

Buyers are corporates/PSUs/government departments.

Q79. Merchant bankers in India are regulated by:

A) RBI
B) SEBI ✓
C) IRDAI
D) MCA

SEBI (Merchant Bankers) Regulations 1992.

Q80. Underwriting by merchant bankers means:

A) Agreeing to buy unsubscribed shares ✓
B) Bank guarantee
C) Printing prospectus
D) Listing the shares

Commitment to take up unsold portion.

Q81. Venture capital funds were earlier regulated under SEBI Regulations of:

A) 2008
B) 1996 ✓
C) 2015
D) 2020

Replaced by AIF Regulations 2012.

Q82. AIF Category III includes:

A) Hedge funds ✓
B) Private equity funds
C) Infrastructure funds
D) Venture funds

Cat III: hedge funds and similar.

Q83. Minimum corpus of an AIF is:

A) ₹50 crore
B) ₹100 crore
C) ₹5 crore
D) ₹20 crore ✓

₹20 crore.

Q84. Mezzanine financing refers to:

A) Pure equity
B) Pure debt
C) Hybrid of debt and equity ✓
D) Seed capital

Sits between senior debt and equity.

Q85. In a lease, the asset is owned by the:

A) Bank only
B) Government
C) Lessor ✓
D) Lessee

Lessor owns, lessee pays rentals.

Q86. In hire purchase, ownership passes to the hirer:

A) Never
B) On payment of the last instalment ✓
C) At the start
D) After one instalment

Hire Purchase Act, 1972.

Q87. Depreciation on a hire-purchased asset is claimed by the:

A) Hirer ✓
B) Hire vendor
C) Bank
D) Government

Hirer (buyer) claims depreciation.

Q88. Sale and leaseback means:

A) Buying equipment
B) Share buyback
C) Subleasing
D) Selling an asset and leasing it back from the buyer ✓

Raises funds while retaining use.

Q89. CRISIL was the first rating agency in India set up in:

A) 1991

B) 1987 ✓

C) 1993

D) 2000

Followed by ICRA (1991) and CARE (1993).

Q90. Highest long-term rating symbol is:

A) A

B) D

C) AAA ✓

D) AA

AAA is highest safety; D denotes default.

Q91. Lowest investment-grade long-term rating is:

A) BBB- ✓

B) BB

C) B

D) C

BBB- or BBB(-).

Q92. Highest short-term rating symbol is:

A) A1

B) A1+ ✓

C) A3

D) A2

A1+.

Q93. A rating is:

A) An opinion on creditworthiness ✓

B) A guarantee

C) A tax certificate

D) A buy recommendation

Not a recommendation.

Q94. SEBI's CRA Regulations were notified in:

A) 2008

B) 1999 ✓

C) 1992

D) 2014

SEBI (Credit Rating Agencies) Regulations 1999.

Q95. Mutual funds in India are regulated by SEBI under Regulations of:

A) 1992

B) 2012

C) 1996 ✓

D) 2003

SEBI (Mutual Funds) Regulations 1996.

Q96. AMFI stands for:

A) Asset Management Fund Institute

B) Authority for Mutual Funds in India

C) Association of Mutual Funds in India ✓

D) All Mutual Funds India

Industry body, established 1995.

Q97. NAV of a mutual fund is:

A) Assets × Units
B) Market cap
C) Liabilities / Units
D) (Assets – Liabilities) / Units outstanding ✓

Per-unit value.

Q98. Exit load is charged when an investor:

A) Opens folio
B) Switches plan only
C) Buys units
D) Redeems units early ✓

Penalty for early redemption.

Q99. ELSS funds have a lock-in of:

A) 1 year
B) 10 years
C) 3 years ✓
D) 5 years

Tax saving under Section 80C (old regime).

Q100. A liquid fund invests in instruments with maturity up to:

A) 5 years
B) 1 year
C) 1 day
D) 91 days ✓

Up to 91 days.

Q101. An overnight fund invests in securities maturing in:

A) 1 day ✓
B) 1 year
C) 91 days
D) 7 days

Very low risk.

Q102. UTI was set up in:

A) 1963 ✓
B) 1973
C) 1953
D) 1987

Unit Trust of India, 1963.

Q103. Large-cap funds invest mostly in companies ranked:

A) Unlisted
B) 101–250
C) 251 onwards
D) Top 100 by market cap ✓

Top 100 by market capitalisation.

Q104. A Systematic Withdrawal Plan lets investors:

A) Vote on schemes
B) Buy units monthly
C) Withdraw fixed amounts periodically ✓
D) Switch plans

SWP.

Q105. The minimum net worth of an AMC is:

A) ₹50 crore
B) ₹10 crore
C) ₹500 crore
D) ₹100 crore ✓

₹100 crore.

Q106. Direct plans of a mutual fund have:

A) No exit load ever
B) Higher expense ratio
C) Lower expense ratio ✓
D) No NAV

No distributor commission.

Q107. Fund of Funds invests in:

A) Units of other mutual funds ✓
B) Real estate
C) Stocks directly
D) Only G-secs

A fund that holds other funds.

Q108. ETFs are traded:

A) Only by RBI
B) Only at NAV
C) On stock exchanges ✓
D) Only in banks

Real-time price on exchange.

Q109. Free-look period for an insurance policy is:

A) 60 days
B) 15 days ✓
C) 7 days
D) 30 days (all cases)

15 days (30 days for distance marketing).

Q110. Insurable interest is mandatory in:

A) Both life and general ✓
B) Only general insurance
C) Only life insurance
D) Neither

Policyholder must stand to lose.

Q111. Principle of indemnity does NOT apply to:

A) Marine insurance
B) Fire insurance
C) Life insurance ✓
D) Motor insurance

Life is not measurable in money.

Q112. Subrogation allows the insurer to:

A) Claim from a third party after paying the insured ✓
B) Raise premium
C) Cancel policy
D) Refuse claims

Insurer steps into the insured's shoes.

Q113. A pure protection life insurance plan is:

A) Endowment
B) Term insurance ✓
C) Money-back
D) ULIP

No maturity benefit.

Q114. Third-party motor insurance is compulsory under:

A) Insurance Act, 1938
B) Motor Vehicles Act, 1988 ✓
C) RTO rules
D) IRDA Act

Statutory requirement.

Q115. PMJJBY premium is ₹436 per year for life cover of:

A) ₹10 lakh
B) ₹2 lakh ✓
C) ₹1 lakh
D) ₹5 lakh

Age 18–50.

Q116. PMSBY accident cover of ₹2 lakh costs:

A) ₹12 or ₹20 per year (₹20 now) ✓
B) ₹436
C) ₹1,000
D) ₹330

Currently ₹20 for age 18–70.

Q117. Under Ayushman Bharat PM-JAY, health cover per family per year is:

A) ₹10 lakh
B) ₹3 lakh
C) ₹5 lakh ✓
D) ₹1 lakh

₹5 lakh.

Q118. Reinsurance means:

A) Renewal of policy
B) Insurer insuring part of its risk with another insurer ✓
C) Double insurance
D) Government guarantee

Spreads risk.

Q119. Under Section 39 of the Insurance Act, a life policyholder can:

A) Nominate ✓
B) Assign only
C) Cancel
D) Surrender

Nomination; Section 38 is assignment.

Q120. Grace period for premium payment on annual-mode life policies is:

A) 90 days
B) 60 days
C) 15 days
D) 30 days ✓

30 days (15 days for monthly).

Q121. NPS was launched for central government employees (except armed forces) from:

A) 1 Jan 2015
B) 1 Jan 2004 ✓
C) 1 April 2020
D) 1 April 2009

Opened to all citizens in 2009.

Q122. Entry age for NPS (all citizens) is:

A) 18–40
B) 18–60
C) 18–65 (now 18–70) ✓
D) 21–55

Extended to 18–70.

Q123. NPS Tier I account is:

A) Voluntary, withdrawable
B) Only for corporates
C) Mandatory with restricted withdrawal ✓
D) Not available

Tier II is voluntary and withdrawable.

Q124. PRAN has ___ digits:

A) 10
B) 12 ✓
C) 8
D) 16

Permanent Retirement Account Number.

Q125. Minimum annuity purchase at NPS exit for non-government subscribers is:

A) 60%
B) 40% ✓
C) 80%
D) 20%

At least 40% of corpus; remaining 60% lump sum.

Q126. Atal Pension Yojana subscribers' pension at 60 ranges:

A) ₹10,000–50,000
B) ₹5,000–10,000
C) ₹1,000–5,000 ✓
D) ₹500–1,000

Guaranteed per month.

Q127. NPS Vatsalya (2024) is a pension scheme for:

A) Women only
B) Defence staff
C) Minors ✓
D) Senior citizens

Launched in September 2024.

Q128. PPF account has a lock-in/maturity of:

A) 10 years
B) 25 years
C) 5 years
D) 15 years ✓

Extendable in blocks of 5 years.

Q129. Maximum annual investment in PPF is:

A) ₹1,50,000 ✓

B) ₹50,000

C) ₹1,00,000

D) ₹2,00,000

₹1.5 lakh per year.

Q130. Unified Pension Scheme assures a pension equal to ___ of average basic pay (25 years' service):

A) 75%

B) 40%

C) 25%

D) 50% ✓

50% of average basic pay of last 12 months.

Q131. Which is a 'para-banking' activity?

A) Accepting deposits

B) Lending

C) Issuing cheques

D) Distribution of mutual funds ✓

Non-fund-based activity.

Q132. For third-party product sales, banks must NOT:

A) Link them with deposit/loan services ✓

B) Keep a board-approved policy

C) Disclose risks

D) Train staff

No tying with banking services.

Q133. A bank sells insurance as a:

A) Regulator

B) Corporate agent ✓

C) Reinsurer

D) Insurer

Earns commission; no underwriting risk.

Q134. REITs and InvITs are governed by SEBI Regulations of:

A) 2008

B) 2000

C) 2014 ✓

D) 2020

SEBI REIT/InvIT Regulations 2014.

Q135. A REIT must distribute at least ___ of net distributable cash flows:

A) 50%

B) 90% ✓

C) 75%

D) 100%

90%.

Q136. Minimum percentage of REIT assets in completed income-generating properties is:

A) 65%

B) 80% ✓

C) 50%

D) 100%

At least 80%.

Q137. India's first listed REIT was:

A) Mindspace

B) Brookfield India REIT

C) Embassy Office Parks REIT ✓

D) Nexus Select Trust

Listed in 2019.

Q138. The borrowing limit for REITs/InvITs is generally:

A) 25% of asset value

B) 49% of asset value ✓

C) 75%

D) 100%

Up to 49% of the value of assets.